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AI



Nvidia is set to resume
China chip sales after
months of regulatory
whiplash



Connie Loizos — 9:36 PM PDT · July 14, 2025

Nvidia announced Monday that it's filing applications to restart sales of its H20 artificial intelligence chips to China, capping a spasmodic few months that saw the Trump administration impose restrictions, then quickly reverse course after a [high-profile dinner meeting](#).

The company expects to receive U.S. government licenses soon and begin deliveries shortly after, according to a [blog post](#). Nvidia is also introducing a new "RTX Pro" chip designed specifically for the Chinese market, calling it "fully compliant" with regulations and ideal for digital manufacturing applications like smart factories and logistics.

IMAGE CREDITS: CHESNOT / GETTY IMAGES

The H20 chip sits at the center of a broader U.S.-China tech standoff. While not Nvidia's most advanced AI processor, the H20 is the most powerful chip the company can legally sell to China under existing export controls. It's specifically designed for "inference" tasks — running existing AI models for day-to-day applications — rather than training new AI systems from scratch.

Chinese tech giants including ByteDance, Alibaba, and Tencent had been aggressively [stockpiling](#) these chips in the first three months of this year in anticipation of stricter export controls. The chip's appeal lies partly in its superior memory bandwidth compared to Chinese alternatives, along with Nvidia's widely adopted software ecosystem that makes the hardware easier to deploy.

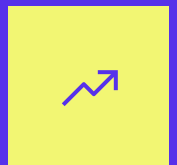
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The regulatory back-and-forth began in April when the Trump administration restricted H20 sales, potentially costing Nvidia \$15 billion to \$16 billion in revenue, judging by how much Chinese firms reportedly splashed out for them in the first quarter alone. The move targeted chips exceeding specific performance thresholds, including total memory bandwidth of 1,400 gigabytes per second or input/output bandwidth of 1,100 GB per second.

But the restrictions were fairly short-lived. Soon after CEO Jensen Huang attended a \$1 million-per-head dinner at Trump's Mar-a-Lago resort in early April, the administration paused the ban. [According to NPR](#), the White House changed its mind after Nvidia promised new U.S. data center investments. Within a week of NPR's report being published, Nvidia announced plans to build AI servers in the U.S. worth as much as [\\$500 billion](#) over the next four years, with help from partners such as TSMC.

The flip-flopping has drawn criticism from U.S. lawmakers who argue it undermines the country's efforts to limit China's AI capabilities and who point to DeepSeek to underscore why it matters. The Chinese startup took the AI world by storm earlier this year by building an impressive model using Nvidia's H800 chips, which are slightly more powerful predecessors to the H20. (The U.S. banned the sale of those H800 chips back in October 2023, but Chinese suppliers have managed to figure out [workarounds](#).)

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In a statement sent to TechCrunch, Nvidia spokesman Hector Martinez said Huang has been meeting with officials in Washington and Beijing this month and “emphasizing the benefits that AI will bring to business and society worldwide.”

In the meantime, the whole episode underscores the ongoing balancing act that U.S. policymakers are attempting, with concerns about national security running up against powerful commercial interests. Given what we’ve already seen in 2025, we can probably expect more reversals of its kind, too.

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Connie Loizos

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Loizos has been reporting on Silicon Valley since the late '90s, when she joined the original Red Herring magazine....

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high-performance graphic processing units to China, the country's tech giants had been hoarding them in anticipation of an escalating tech war between the two nations.

Baidu, one of the tech firms building China's counterparts to OpenAI, has secured enough AI chips to keep training its ChatGPT equivalent Ernie Bot for the "next year or two," the firm's CEO Robin Li said on an [earnings call](#) this week.

"Also, inference requires less powerful chips, and we believe our chip reserves, as well as other

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alternatives, will be sufficient to support lots of AI-native apps for the end users,” he said. “And in the long run, having difficulties in acquiring the most advanced chips inevitably impacts the pace of AI development in China. So, we are proactively seeking alternatives.”

Other deep-pocketed Chinese tech companies have also been taking proactive measures in response to U.S. export controls. Baidu, ByteDance, Tencent and Alibaba collectively ordered around 100,000 units of A800 processors Nvidia to be delivered this year, costing them as much as \$4 billion, the Financial Times [reported](#) in August. They also purchased \$1 billion worth of GPUs that are scheduled for delivery in 2024.

Such heavy upfront investments could easily deter many startups from entering the LLM race. Exceptions do exist if the young business manages to secure handsome investments quickly. 01.AI, which was founded in late March by prominent investor Kai-Fu Lee, [acquired a substantial number of high-performance inference chips through loans](#) and has already paid off its debt after raising capital that valued it at \$1 billion.

With its reserve of GPUs, Baidu recently launched the Ernie Bot 4, which Li claimed is “not inferior in any respect to GPT-4.”

Rating LLMs is tricky thanks to the sheer complexity of these AI models. Many Chinese AI firms have resorted to ranking boosting by diligently fulfilling the criteria of LLM charts, but the effectiveness of these models when applied to real applications real-life is still pending judgment.

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Smaller AI players, lacking the cash flow to hoard chips, will have to settle for less powerful processors that aren't under U.S. export controls. Alternatively, they can await potential acquisition opportunities. Li expects that with a confluence of factors, including the scarcity of advanced chips, high demand for data and AI talent, and huge upfront investments, the industry will soon transition into a "consolidation stage."

Valued at \$1B, Kai-Fu Lee's LLM startup unveils open source model



Kai-Fu Lee, the computer scientist known in the West for his bestseller "AI Superpowers" and in China for his bets on artificial intelligence unicorns, has a new venture — and a great ambition. In late March, Lee launched a company called 01.AI with the vision to develop a homegrown large language model for the Chinese market. ...
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Rita Liao

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Nvidia touts a slower chip for China to avoid US ban

Rita Liao — 8:02 PM PST · November 7, 2022

Two months after the U.S. [choked off](#) China's access to two of Nvidia's high-end microchips, the American semiconductor design giant unveiled a substitute with a reduced processing speed for its second-largest market.

The Nvidia A800 graphic processing unit is "another alternative product to the Nvidia A100 GPU for customers in China," a spokesperson for Nvidia said in a statement to TechCrunch. "The A800 meets the U.S. government's clear test for reduced export control and cannot be programmed to exceed it." The new chip was first [reported](#) by Reuters on Monday.

The A100 processor is known for powering supercomputers, artificial intelligence and high-performing data centers for industries ranging from biotech and finance to manufacturing. Alibaba's cloud computing business [has been one of its customers](#). A100, along with Nvidia's enterprise AI chip H100, were placed under a U.S. export control list to "address the risk that the covered products may be used in, or diverted to, a 'military end use' or 'military end user' in China and Russia."

Nvidia previously reported that the U.S. ban could affect as much as \$400 million in potential sales to China in the third quarter, so the new chip seems to be an attempt to remedy the financial loss. The A800 GPU went into production in Q3, according to Nvidia's spokesperson.

Indeed, chip distributors in China, [such as Omnisky](#), are already marketing A800 in their product catalogs. The chip looks to be designed to circumvent U.S. export rules while still carrying out other core computing capabilities. Most of the key specs of A100 and A800 are identical except for their interconnect speeds: A800 runs at 400 gigabytes per second while A100 functions at 600

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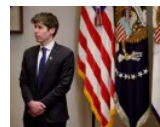
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gigabytes per second, which is the [performance threshold](#) set by the U.S. ban.

According to an [analysis](#) from the Center for Strategic and International Studies, a bipartisan think tank, “By only targeting chips with very high interconnect speeds, the White House is attempting to limit the controls to chips that are designed to be networked together in the data centers or supercomputing facilities that train and run large AI models.”

Nvidia isn’t the only one slowing down its chips in order to evade U.S. sanctions. Alibaba and Chinese chip design startup Biren, which have been pouring resources into making rivals of Nvidia processors, are modifying the performance of their latest semiconductors, [according to Financial Times](#). That’s because Alibaba and Biren, like other fabless semiconductor firms, contract Taiwan’s TSMC to make their products. And because U.S. export controls cover chip sales by companies using American technologies, sales from TSMC fabs to China could be curtailed.



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Nvidia the latest collateral damage in US-China tech war



Nvidia, the world's largest maker of artificial intelligence chips, is at the heart of a new round of U.S. tech sanctions targeting China. Nvidia noted in an SEC filing that the U.S. government had imposed new export restrictions on two of its most advanced AI chips to China, including Hong Kong, its second-largest market after ...

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